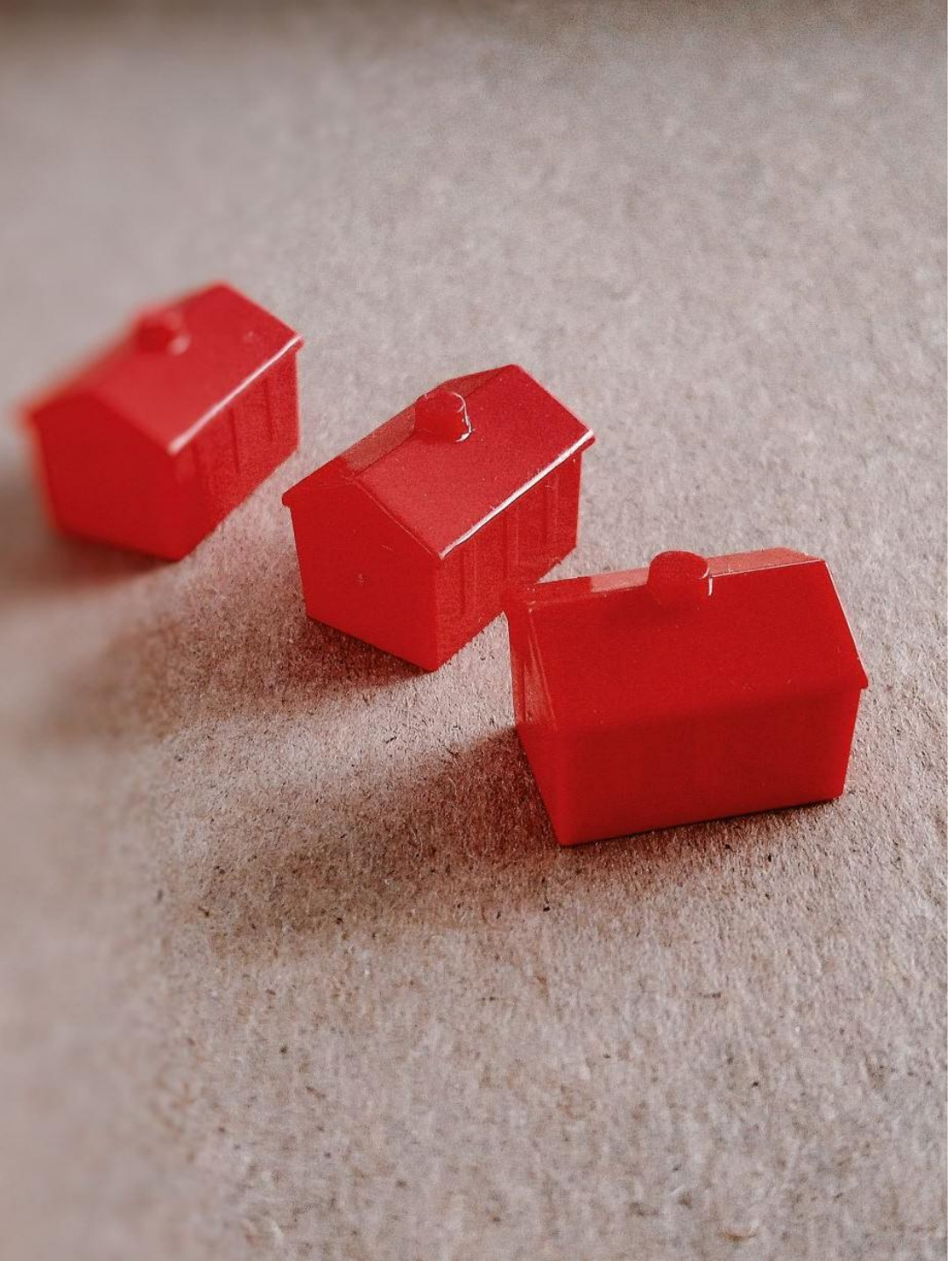


Land Talks: Build Costs

Why it costs a fortune to build in Britain?



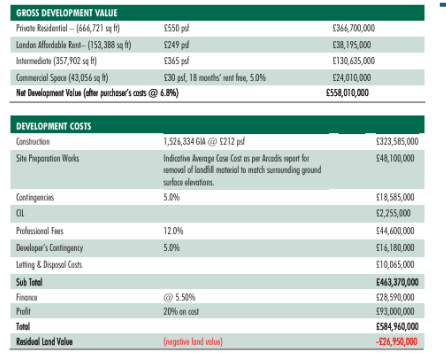
Land Talks: Build Costs

- London is the 10th most expensive place to build globally
- Tender prices have risen by circa 20% since the pandemic
- Who am I ?
- Chartered Quantity Surveyor
- 15 years in the industry acting for Private Developers and Public sector infrastructure Clients

GROSS DEVELOPMENT VALUE		
Private Residential – (666,721 sq ft)	£550 psf	£366,700,000
London Affordable Rent– (153,388 sq ft)	£249 psf	£38,195,000
Intermediate (357,902 sq ft)	£365 psf	£130,635,000
Commercial Space (43,056 sq ft)	£30 psf, 18 months' rent free, 5.0%	£24,010,000
Net Development Value (after purchaser's costs @ 6.8%)		**£558,010,000**

DEVELOPMENT COSTS		
Construction	1,526,334 GIA @ £212 psf	£323,585,000
Site Preparation Works	Indicative Average Case Cost as per Arcadis report for removal of landfill material to match surrounding ground surface elevations.	£48,100,000
Contingencies	5.0%	£18,585,000
CIL		£2,255,000
Professional Fees	12.0%	£44,600,000
Developer's Contingency	5.0%	£16,180,000
Letting & Disposal Costs		£10,065,000
Sub Total		**£463,370,000**
Finance	@ 5.50%	£28,590,000
Profit	20% on cost	£93,000,000
Total		**£584,960,000**
Residual Land Value	(negative land value)	**-£26,950,000**

OPDC ABBEY ROAD
DATE OF REPORT: 22 MARCH 2018



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Development Income	£558m
Build Costs	£390m
Planning & Fees	£47m
Developer's Contingency & Costs	£55m
Profit 20%	£93m
RLV	(£27m)

Build Costs – 66% of overall Development Costs

So what determines build costs?

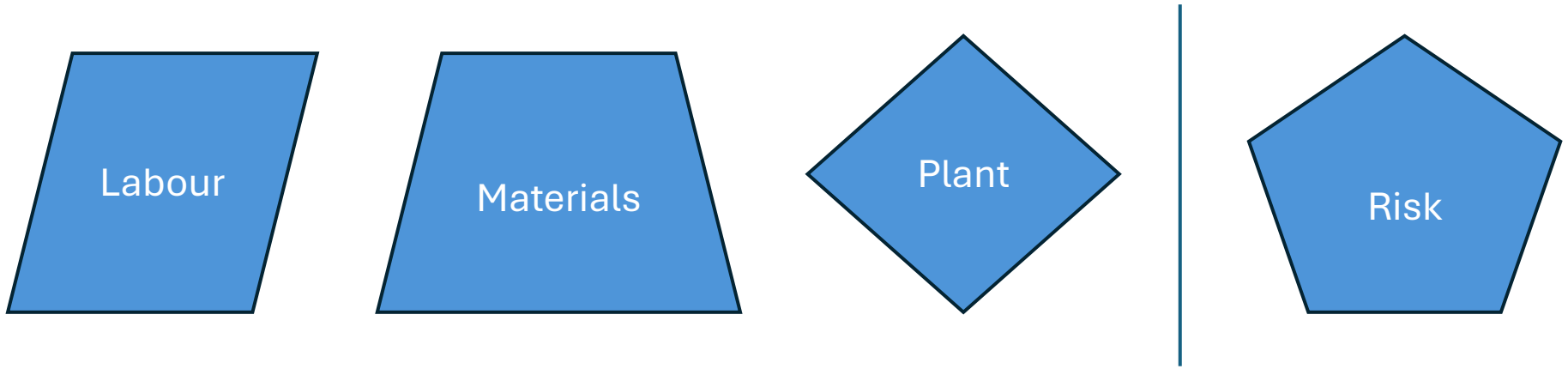


Table 1: Weights for each type of work from the Annual Business Survey

Index	Labour	Materials	Plant
Housing	44.3	50.2	5.5
Infrastructure	47.5	40.4	12.1
Other Work	54.5	39.9	5.7
Housing R&M	60.6	35.8	3.6
Non-Housing R&M	24.8	69	6.2

Source: Office for National Statistics

Labour

Construction wage growth has trailed the whole economy average for nine months

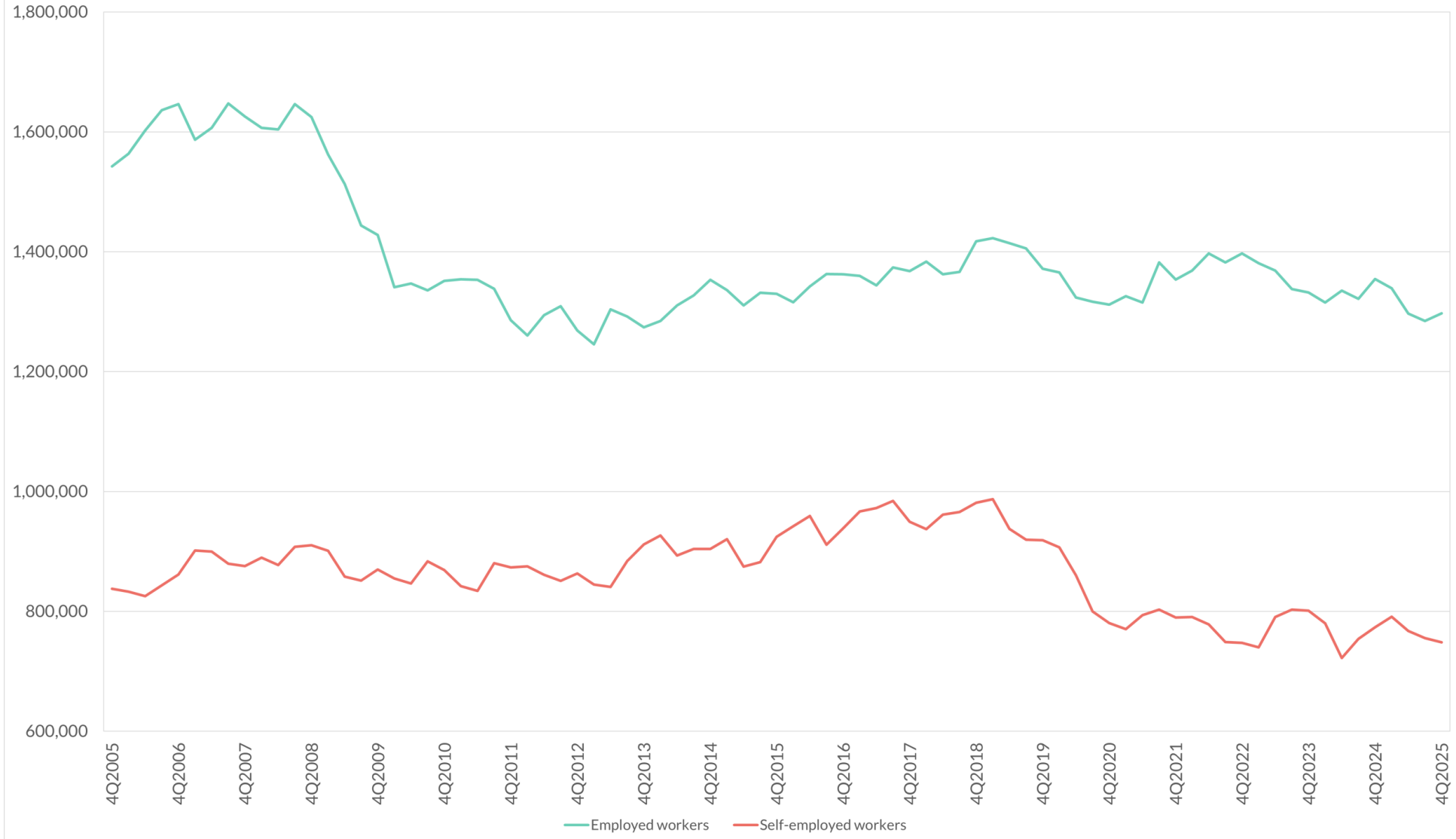
Annual percentage change in average weekly earnings, construction and whole economy



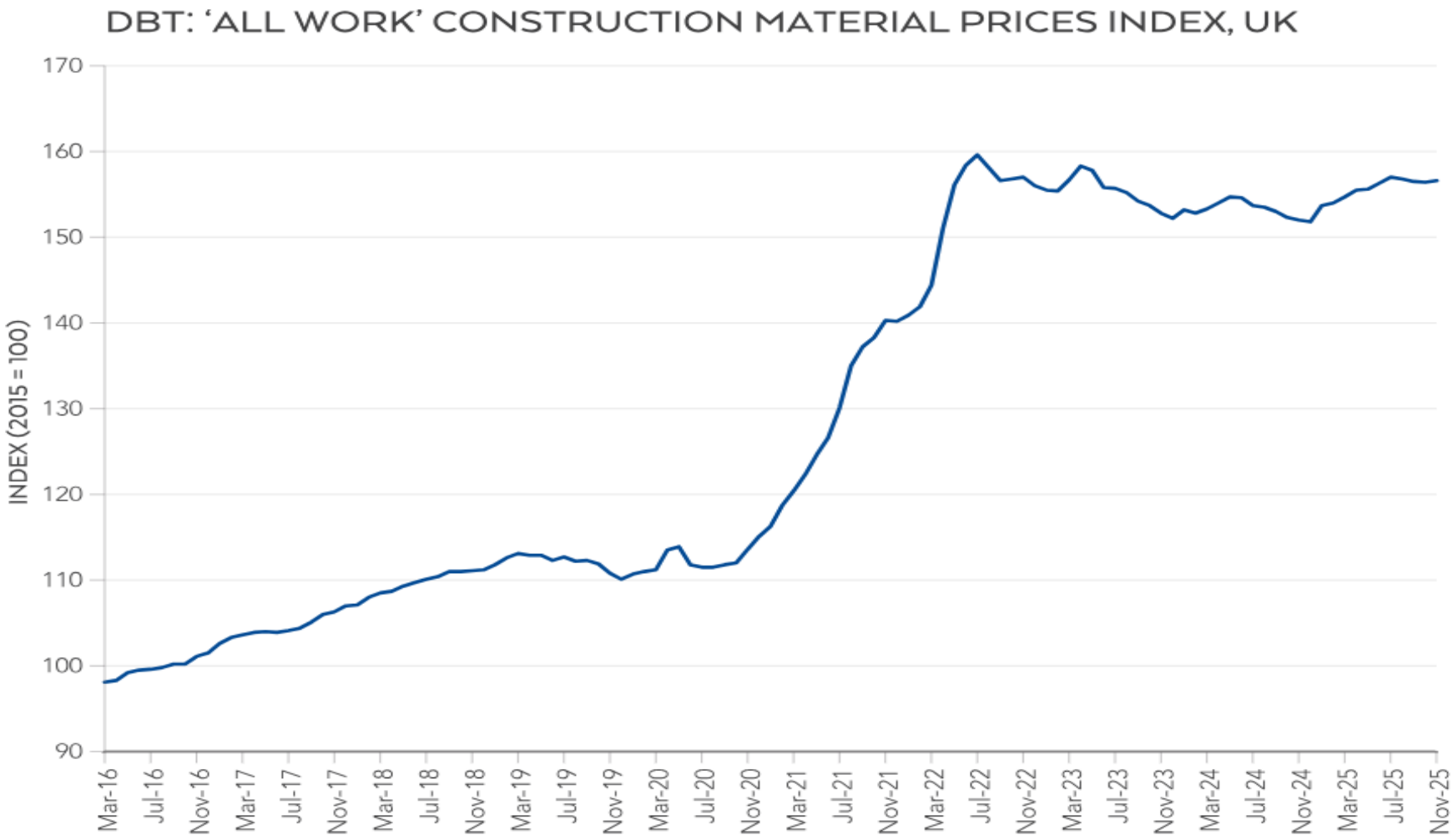
Labour

UK construction workforce

Not seasonally adjusted



Materials



SOURCE: DBT

Greedy Contractors?

Latest Rank By Turnover	Latest Rank By Profit	Company	Reporting Period	Latest Turnover (£m)	Previous Turnover (£m)	Change (%)	Latest Pre-tax Profit (£m)	Previous Pre-tax Profit (£m)	Latest Margin	Previous Margin
1	1	MORGAN SINDALL GROUP PLC	31/12/2023	4,117.7	3,612.2	14.0	143.9	85.3	3.5	2.4
2	3	BALFOUR BEATTY GROUP LTD	31/12/2023	4,060.0	3,787.0	7.2	118.0	116.0	2.9	3.1
3	8	KIER GROUP PLC	31/12/2022	3,724.2	3,380.7	10.2	54.0	51.9	1.5	1.5
4	41	ISG LTD	31/12/2023	2,185.1	2,263.7	-3.5	11.5	18.5	0.5	0.8
5	11	WATES GROUP LTD	31/03/2023	2,101.9	1,786.9	17.6	44.9	31.5	2.1	1.8
6	100	LAING O'ROURKE PLC	31/12/2022	2,034.9	1,807.3	12.6	-188.3	16.2	-9.3	0.9
7	2	TARMAC TRADING LTD	31/12/2022	1,996.4	2,136.2	-6.5	125.9	263.1	6.3	12.3
8	10	MACE LTD	31/03/2023	1,936.5	1,933.0	0.2	51.0	53.8	2.6	2.8
9	80	M GROUP SERVICES LD	31/12/2023	1,864.6	1,545.3	20.7	1.3	31.3	0.1	2.0
10	4	AMEY UK LTD	31/12/2023	1,836.2	2,082.8	-11.8	97.0	86.4	5.3	4.2
11	21	GALLIFORD TRY HOLDINGS PLC	31/12/2022	1,638.2	1,393.7	17.5	26.0	10.1	1.6	0.7
12	12	J. MURPHY & SONS LTD	31/12/2022	1,482.9	1,269.9	16.8	44.6	61.7	3.0	4.9
13	7	SKANSKA UK PLC	31/12/2022	1,400.2	1,122.7	24.7	55.0	34.7	3.9	3.1
14	14	VOLKERWESSELS UK LTD	31/12/2023	1,348.8	1,151.9	17.1	37.7	27.1	2.8	2.4
15	19	COSTAIN GROUP PLC	31/12/2022	1,332.0	1,421.4	-6.3	30.9	32.8	2.3	2.3

Data from 2024
Profit margins have come under pressure during the past year, with the average margin across the Top 100 falling to **1.7%** compared to **2.7%** among the same companies in 2023.



- Mace Construct grew revenue by 21% in 2024 to **£2.1bn** but made a profit before tax of just **£15.7m ~ 0.75%**

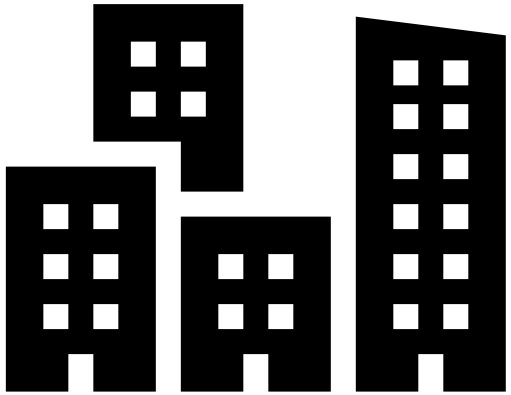




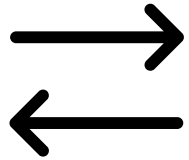
- Mace Consult increased its pre-tax profit by 74% over 2023 to reach £77.7m on revenue up 11% to £686.6m. ~ 11%

Risk

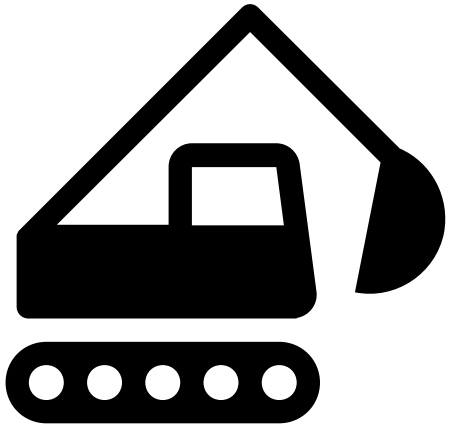
Client



£ £ £



Contractor

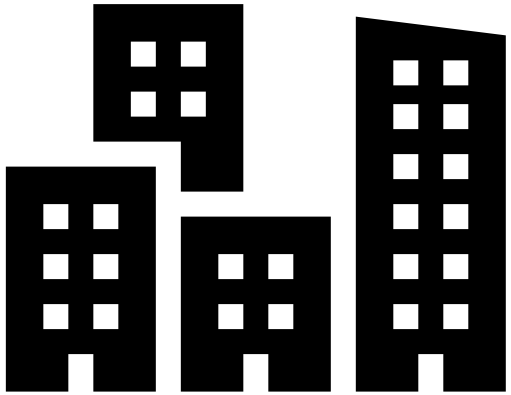


- Design risk
- Ground risk
- Construction risk
- Weather

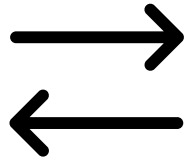
- Supply chains
- Coordination risk
- Materials risk
- Regulation changes
- Programme

Risk

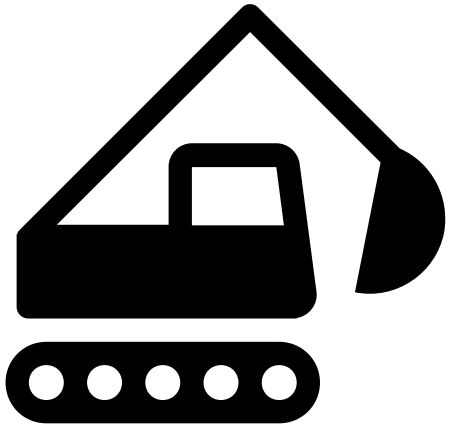
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£ £ £



Contractor



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- Weather

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We don’t help ourselves …



- We reinvent the wheel on each project
- New designs
- New concrete core construction
- New window frame
- New Roof buildups
- New façade panels
- New M&E systems
- New Lift Cars

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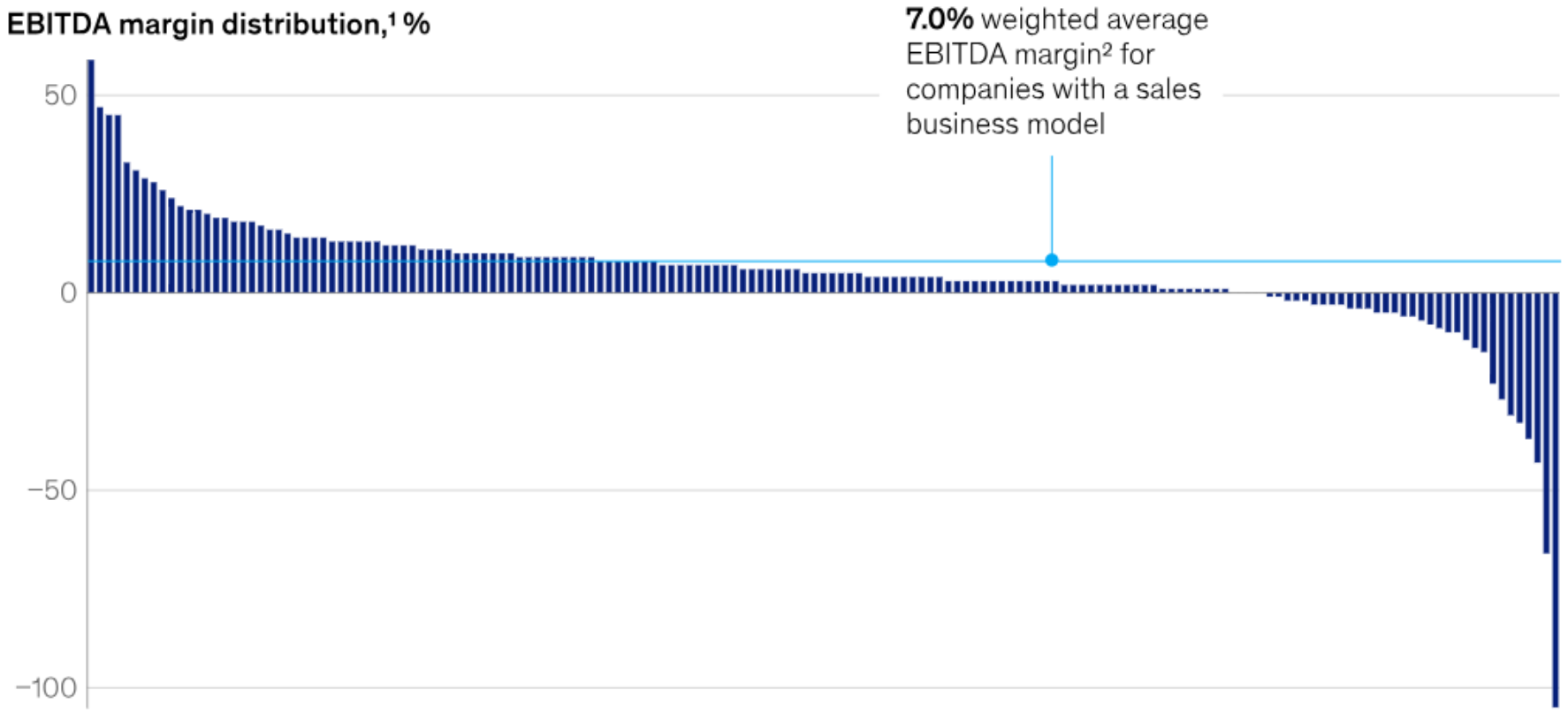
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Is there a solution?



- Use of modular
- Factory quality tolerances
- Reduced on-site labour
- Recent experience - Ilke & L&G – closed down
- Require a consistent pipeline to allow companies for keep factory lines running and economies of scale achieved
- The value argument has been to create the most space as possible
- Planning has meant certain modular solutions haven’t been acceptable

Profitability among modular construction companies



[1]Based on companies in the database with 2023 financials available and with sales business model only (n = 165).
[2]EBITDA margin weighted based on revenues.
Source: Modular Construction proprietary database, McKinsey, April 2025

McKinsey & Company

Public Sector view







- Follow the Construction Playbook - 2022
- Understand what their assets cost – Buildup internal cost data set
- Move to a ‘Should Cost’ mind set. Not the ‘least’ we can spend or just ‘How much’.
- Fair risk allocation. It moves away from adversarial contracts toward collaborative relationships.
- Move away from Open Book commercial models with generous OH&Ps and Target Cost models

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Public Sector need to understand







- Industry can’t pivot quickly, needs time to grow its people and skillsets
- With wayward demand comes riskier pricing £££
- Provide the market with a consistent pipeline